

strategies can be summarized as those strategies that seek to profit through inefficient market information. What is meant by this is the information that can be inferred, retrieved, processed, computed, compiled, etc., from market data to generate a buy or sell signal, through the use of quick systems and better computers, infrastructure, location of servers, etc., co-location, ping-pong, indications of interest (IOIs), flash orders. The “liquidity trading” HFT is often the category of HFT that is subject to the most scrutiny and questions in the market. Market participants are worried that these strategies have an unfair advantage through the co-location, available order types, ability to decipher signals, etc. These participants counter argue that they adhere to the same market rules and have an advantage due to their programming skills or mathematical skills, better computers, connectivity (e.g., supercomputers) and co-location of servers, which are available to all market participants (albeit for a cost).

Another variation of the rebate trader is an opportunistic AMM. This is again similar to the AMM and the traditional market-making role, but the opportunistic trader is not under any obligations to provide liquidity or maintain a fair and orderly market. These market participants will provide or take liquidity at their determined price levels, as they are not required to continuously post bids and offers, or maintain an orderly market. Since they are not registered or under any obligations to provide liquidity, these parties do not receive any special rebates that are made available to the registered AMM. This party tends to employ alpha models to determine the best price for the stocks (e.g., theoretical fair value models) and corresponding bids and offers to take advantage of market prices—they only tend to provide quotes when it is in their best interest to do so and when there is sufficient opportunity to achieve a profit. If prices are moving away from them, they may no longer keep a market quote. As a result, they may only have a quote on one side of the market, or will quickly close the position via a market order to avoid potential adverse price movement. These parties expect to profit via the bid-ask spread (similar to the traditional AMM participants) as well as via market rebates and alpha signals. But unlike traditional AMM participants, the rebates and alpha signals are a primary P/L opportunity. They only perform the AMM function when these signals are in their favor, and they do not have any obligation to continuously provide market quotes. The opportunistic AMM participants are more likely to net and close their positions by the end of the day because they do not want to hold any overnight risk even if they are well hedged. Furthermore, the opportunistic AMM participants are not willing to hold any inventory of stock in anticipation of future order flow. But they will hold an inventory (usually small) of stock (either long or short) based on